

Apple Inc.
AAPL NASDAQ

Hold \$305.19 ▼ 1.20% 12M Price Target \$325.00 52-Week Range \$201.68 – \$344.57 Market Cap \$4.48T

AAPL: Post-Earnings Hangover, India Pivot Offsets China Risk

WHAT HAPPENED

- AAPL just took an ugly ~10% haircut in three sessions (from \$340 to \$305) — the giant volume spike on July 31 (132M shares vs. normal ~55M) tells you that was the earnings-reaction day, and it wasn't pretty. Today's follow-through drop on light volume (23M) is the "dead cat" — institutions aren't panic-selling, but nobody's stepping in to catch it either.
- The India manufacturing headline is the counter-narrative bulls are clinging to: Apple's accelerating its shift out of China, which matters BIG TIME given the tariff backdrop (more on that below). Meanwhile Amazon just crossed \$3T — AAPL is still the mega-cap king at \$4.48T, but the market is clearly rotating toward names with cleaner AI stories.

WHY IT MATTERS

The options market is flashing a warning: massive unusual put buying at the \$305 and \$307.5 strikes (16x and 13x normal open interest) means big money is paying up for downside protection right at current levels — translation: someone thinks \$305 breaks. But here's the nuance — Apple's India pivot is arguably the single most important strategic move in the company right now, because it's a direct hedge against the Trump administration's ongoing tariff pressure on Chinese-made goods. If Apple can credibly say "we make iPhones in India" by end of 2026, they neutralize their biggest political risk. The stock is stuck in no-man's land: too expensive to be a screaming buy at 41x earnings, but too dominant and cash-rich to short.

POLICY & POLITICAL WATCH

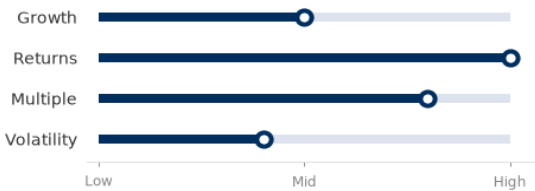
The big one is tariffs — the administration has been escalating pressure on China-sourced electronics, and Apple still assembles the majority of iPhones there. Every headline about a new tariff round or a Section 301 review hits AAPL directly on the margin line. Counterbalancing that: the India manufacturing buildout is essentially Apple's political insurance policy, and the US-India trade relationship is warming, which gives Cook cover. Also watch the DOJ antitrust case on the App Store — a forced restructuring of the 30% commission would hit Services revenue, which is the highest-margin part of the business.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$305.19
12M Price Target	\$325.00
Upside / (Downside)	+6.5%
Market Cap	\$4.48T
FY2026E Revenue	\$425M
FY2027E Revenue	\$458M
FY2026E EPS	\$7.45
FY2027E EPS	\$8.20
Fwd P/E	40.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$325.00	\$308.00	\$285.00
6 Months	\$355.00	\$320.00	\$275.00
1 Year	\$380.00	\$325.00	\$260.00
2 Years	\$425.00	\$350.00	\$240.00
5 Years	\$550.00	\$425.00	\$220.00
10 Years	\$800.00	\$550.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72% today, +3.27% week) — Meta and Google are absorbing the "AI winner" narrative money, and Consumer Discretionary is ripping (+6.6% week) on Amazon's \$3T milestone.

COOLING OFF: Tech is up only +0.94% today, dramatically underperforming Comm Services — that's a tell that money is rotating WITHIN big tech, not out of it, and Apple is on the losing side of that rotation right now.

ROTATION WATCH: Capital is flowing from hardware-heavy tech (AAPL) into ad-and-cloud tech (META, GOOGL, AMZN) because those names have cleaner AI monetization stories and less tariff exposure.

RELATED PLAY: If you believe the India manufacturing thesis, look at Apple's key suppliers with India exposure — Foxconn (2354.TW) and Tata Group companies are the second-order beneficiaries as production shifts.

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): Just crossed \$3T market cap — AWS growth is reaccelerating and their ad business is now a legit third pillar.
- META (Meta): AI ad-targeting is printing money and their capex spending is being rewarded, not punished, by the market.

AAPL CONTEXT: Apple is LAGGING its mega-cap peers hard right now — while Comm Services rips, AAPL is bleeding. That's important: it tells you this isn't a "tech is broken" story, it's an "Apple specifically has issues" story. Until Apple shows a real AI catalyst or nails the India transition, expect it to underperform the group.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Not pounding the table either way; Apple is a "own it, don't trade it" name here, but I wouldn't be adding aggressively at \$305 with put flow this heavy.

POSITION SIZE: 3-5% of portfolio — this is a core holding for most investors, not a swing trade. The dividend and buyback floor limits downside but caps upside too.

ENTRY POINTS: I'd wait for \$290-300 to add. The \$285 level is the real technical support — if it breaks there, the next stop could be \$270.

TIME HORIZON: 12-24 months — the key catalyst is the September iPhone launch and holiday sales data in January. That'll tell us if the AI upgrade cycle is real.

WHEN TO BAIL: If China revenue drops more than 15% year-over-year in the next earnings, or if the India manufacturing timeline slips materially, I'm trimming.

HEDGING: Simplest hedge — if you own 100 shares, buy one \$290 put expiring in 3 months. It costs a few hundred bucks and protects you if tariffs escalate or the iPhone launch flops.